

gross margins contracted by 258 basis points (bps), net profit margin shrank by 160 bps to 14.8 per cent because of inflation in inputs to the tune of 12.6 per cent.

Suresh Narayanan, Chairman and MD of Nestlé India, says one key reason for the slowdown in rural households' consumption is that essential items are taking up a large chunk of their budget. Mayank Shah, Senior Category Head at biscuits and confectionary major Parle Products, says, "It's a very difficult time for almost all players. There were multiple rounds of price hikes in 2022, but as prices of raw materials kept rising, it was getting very, very challenging for most companies to manage their price-value equation."

FIRMS REORIENT

For white goods makers, too, the strategy of raising prices may be reaching its limit. B. Thiagarajan, Managing Director of air-conditioning major Blue Star, tells *Business Today* that since the cost of production jumped by double digits, margins have remained under severe pressure. "Compared to the pre-Covid-19 levels, margins are 1.5 per cent lower. But we are not taking any further price hikes," he says. He feels further hikes could hit demand. There might be other reasons for this rethink. According to Nandi, after surging to 31 per cent higher than pre-Covid-19 levels, the cost of production

has begun to moderate. "Currently, it is about 14-15 per cent higher (than early 2020). Across categories of large appliances, 15-20 per cent price hikes have been made by the industry. But there is still an adverse equation on margin by about 4 per cent as the higher costs haven't been recovered yet," he tells *BT*.

One other factor is the change in consumer behaviour that is clearly visible in the smart TV market—the largest durables category by unit sales—where sales are now skewed towards premium TVs with larger screens. According to Avneet Singh Marwah, CEO of Superplastronics, which manufactures Kodak, Thomson and Blaupunkt brands of smart TVs, demand for 32-inch TVs has shrunk by up to 40 per cent in the last few quarters. Till recently, 32- and 40-inch TVs accounted for over 80 per cent of the market. "Meanwhile, we are witnessing a 300 per cent jump in demand for the premium 55- and 65-inch TVs. This clearly reflects a wide divide between the purchasing power of mass market consumers and the better off," he says.

WHAT SHAPE IS IT?

Since the post-pandemic recovery began, economists and policymakers have grappled with one question: Which letter best encapsulates this recovery? The most contentious candidate has been the letter 'K', implying that the better-off have seen a recovery even as lower income households suffer.

Some economists say this divergence is already impacting the economy. While the Reserve Bank of India (RBI) expects the gross domestic product (GDP) to grow 6.5 per cent in FY24 and the International Monetary Fund revised its estimate upwards to 6.1 per cent from 5.9 per cent, others are less optimistic. The World Bank cut its growth projection for India by 30 bps to 6.3 per cent, attributing this to poor private consumption. CRISIL, a subsidiary of US-headquartered analytics and ratings giant S&P, expects India's GDP to grow at 6 per cent in the current fiscal.

Dipti Deshpande, Principal Economist at CRISIL, says the slump in the consumer economy is not without reason. "First, unlike in previous instances of major jolts in economic activities, post-Covid-19, the government was very judicious in putting money in the hands of the common people. This has helped keep inflation in check (compared to other major economies). Second, for the unorganised sector workers there has been an impact on income levels. Third, steep inflation, especially in essential categories, meant households were made to spend more on them, which impacted their ability to spend on most other categories. And fourth, a higher rate of interest is impacting overall consumer spending," she says.

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SENIOR CATEGORY HEAD,
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